

Model — Scarcity in Wakanda

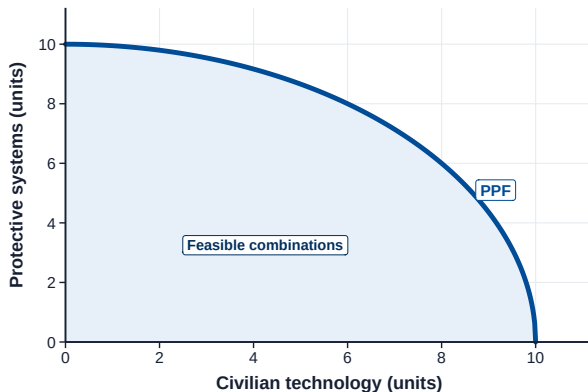
Factors of production

- ▶ **Land:** vibranium and other natural resources
- ▶ **Labor:** workers, knowledge, and skills
- ▶ **Capital:** laboratories, factories, and equipment
- ▶ **Entrepreneurship:** organizing resources and taking risks

Two outputs

1. Civilian technology
2. Protective systems

Model — Production Possibilities



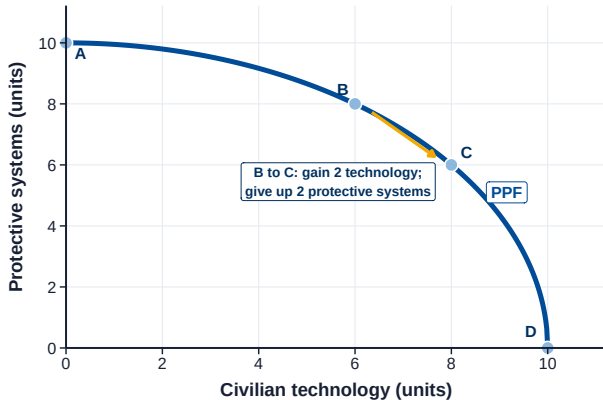
The **PPF** shows combinations that can be produced when available resources are fully employed.

Theory — Opportunity Cost

	Civilian tech.	Protective sys.
A	0	10
B	6	8
C	8	6
D	10	0

Gain 2 technology units and
give up 2 protective systems.

$OC(1 \text{ tech.}) = 1 \text{ protective system}$



Trade — Comparative Advantage

	Cost of 1 civilian technology unit	Cost of 1 protective system
Wakanda	$\frac{1}{2}$ system	2 technology units
Talokan	$\frac{2}{3}$ system	$\frac{3}{2}$ technology units

Wakanda

Comparative advantage in civilian
technology

Talokan

Comparative advantage in protective
systems

Trade — Gains

